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ESG report - Rio Tinto

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Introduction:

The goal is to delve into recent news about the company, learn about each of its **E**nvironmental, **S**ocial and **G**overnance factors, and lastly see how the issues materialise or whether they do so. This month, we have focused on Rio Tinto.

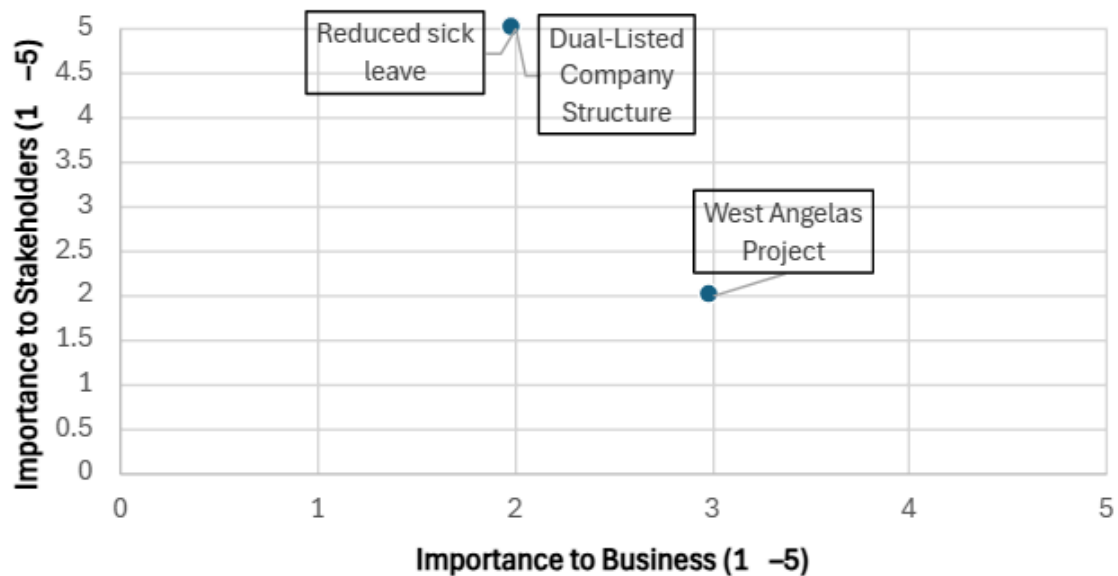
About

- Rio Tinto Group is a British-Australian multinational company that is one of the world's largest metals and mining corporations, with a net worth of \$113.65 billion.
- CEO: Jakob Stausholm
- HQ in London (UK), and Melbourne (Australia). Operating 35 offices across five continents (Europe, Oceania, Asia, North America, and Africa).
- 60,000+ employees
- 1,730 customers and partners across multiple industries and countries, including the US Department of Energy.
- The main competitors of Rio Tinto Group include BHP Group, Glencore and Anglo American. These companies are all part of the "other industrial metals & mining" industry.

Recent News

In 2024, Rio Tinto signed Australia's most significant renewable power purchase agreements, securing wind and solar energy for its facilities in Gladstone. This agreement marks a major step towards decarbonising its aluminium operations as it enhances Rio Tinto's environmental credibility. However, the shift presents challenges, including high upfront costs, energy reliability concerns, and dependence on infrastructure and policy support. Successful implementation will determine whether this transition delivers long-term operational and economic benefits. Furthermore, Rio Tinto will invest \$389 million to develop the West Angelas Sustaining Project in Western Australia's Pilbara region. The investment strengthens their long-term iron ore production capacity in the region. It demonstrates a commitment to maintaining resource efficiency and supporting local economic growth, aligning with the "governance" and "social" aspects of ESG performance. However, expanding iron ore operations raises environmental concerns regarding land disturbance, emissions, and biodiversity impact. To align with ESG goals, the partners must ensure robust mitigation strategies, transparency, and sustainable resource management.

Materiality Matrix Rio Tinto



Explanation

Environment:

The West Angelas project may increase environmental impacts like land disturbance and biodiversity loss.

Importance to business: The issue can cause both legal and reputational risks. Additionally, problems with groundwater can limit output or increase operating costs. However, since the company has shown clear signs of mitigating the environmental risks this helps avoid fines, delays, and stakeholder backlash. The overall score is 3.

Importance to stakeholders: Environmental Protection Authority (EPA) of Western Australia showed concern for the damages this project could have on the environment. Rio Tinto responded to these concerns by adding solar generation to the project. It therefore receives a score of 2.

Social:

The current entitlement of 90 days of sick leave has been reduced to 12 days for workers at mining sites in Australia.

Importance to business: There is no evidence of any financial impacts of this issue yet. However, less days of sick leave could lead to extra costs. It therefore gets a score of 2.

Importance to stakeholders: This issue receives the high score of 5, especially since The Australian Manufacturing Workers' Union (AMWU) has raised concern. State Secretary Steve McCartney has pointed out that the mining company had a growth of 3% in cash generated from operating activities from 2023 to 2024 and questions why they then needed to 'strip away workers entitlements'.

Governance:

Activist investor Pallicer Capital called for Rio Tinto to unify its Dual-Listed Company structure being Rio Tinto Limited (Australia) and Rio Tinto Plc (London).

Importance to business: The board of directors at Rio Tinto unanimously recommended shareholders to vote against the unfaction and the resolution proposed by Pallicer Capital therefore failed to gain sufficient support. As a result, Rio Tinto has kept its Dual-Listed company structure. This structure makes it difficult to make strategic changes like M&A, which means that Rio Tinto has less flexibility as a company. Because of the voting, the issue receives a low score, but the strategic difficulties mentioned increases the score to 2.

Importance to stakeholders: Since Pallicer Capital is a stakeholder of Rio Tinto, this issue receives a high score of 5.

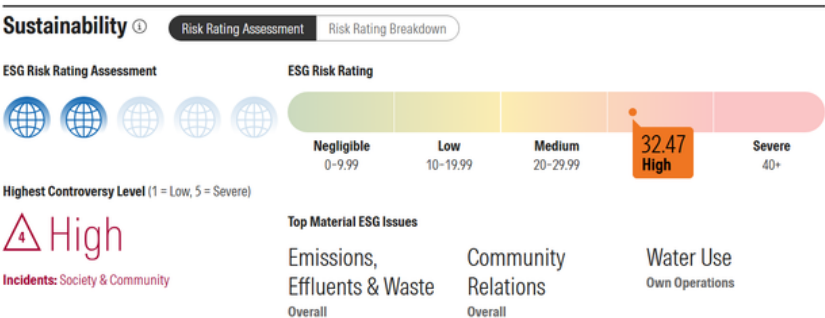
Compared with the ratings of other financial institutions

MSCI



Rio Tinto’s MSCI rating, based on the company’s holdings as of 3rd of September 2025, is A(Average). Rio Tinto's ESG risk rate is categorized as "High Risk" with a score of 32.5, ranking 51st out of 219 in the Diversified Metals industry and 10,724th out of 14,416 globally. Highest Controversy Level is as of 08 Sept 2025.

Sustainalytics



Rio Tinto is a part of the Sustainalytics Subindustry called 'Diversified Metals Mining'. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. The company also has a history of environmental violations. For example, it was fined \$2 million for breaching the Fisheries Act and Mining Effluent Regulations in 2023. In another case, in 2022, its QMM mine in Madagascar released 1 million m³ of contaminated water, killing thousands of fish due to high aluminium levels. Additionally, in 2023, Rio Tinto was fined \$600,000 for chemical spills in 2020, which released hazardous substances into the St. Lawrence River in North America.

Conclusion

Looking at the materiality matrix, none of the ESG issues discussed are considered material for Rio Tinto. Both "Reduced sick leave" and "Dual-Listed Company Structure" are both considered watch closely as they have the highest importance to stakeholders and even though there is no clear sign of them materialising at the moment, they can in the future. Especially the social issue has a high chance of leading to reputational or legal risks. Because of the findings from the materiality matrix, the ESG issues are not likely to have any effect on the stock's performance in a short term perspective, but might in the future.

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